



PAPER – 1: FINANCIAL REPORTING



QUESTIONS

Case Scenario I

D Ltd. prepares financial statements to 31st March each year. Following information on revenue transactions are relevant to the year ended 31st March 20X7.

- (i) On 1st October 20X6, D Ltd. sold a product to a customer for ₹ 1,21,000. This amount is payable on 31st December, 20X8. The manufacturing cost of the product for D Ltd. was ₹ 80,000. The customer had a right to return the product for a full refund at any time up to and including 31st December 20X6. At 1st October 20X6, D Ltd. had no reliable evidence regarding the likelihood of the return of the product by the customer. The product was not returned by the customer before 31st December 20X6 and so the right of return for the customer expired. On both 1st October 20X6 and 31st December 20X6, the cash selling price of the product was ₹1,00,000. A relevant annual rate to use in any discounting calculations is 10%.
- (ii) On 1st July 20X5 D Ltd. began an arrangement to sell goods to a third party B Ltd. The price of the goods was set at ₹100 per unit for all sales in the two-year period ending 30th June 20X7. However, if sales of the product to B Ltd. exceed 60,000 units in the two-year period ending 30th June 20X7, then the selling price of all units is retrospectively set at ₹90 per item.

Sales of the goods to B Ltd. in the nine-month period ending on 31st March, 20X6 totalled 20,000 units and this volume of sales per month was not expected to change before 30th June 20X7.

However, in the year ended 31st March, 20X7, total sales of the goods to B Ltd. were 35,000 and based on current orders from B Ltd., the estimate was revised. The directors of D Ltd. estimated that the total sales of the goods to B Ltd. in the two-year period ending 30th June 20X7 would be more than 60,000 units.

On the basis of the facts given above, chose the most appropriate answer to Questions 1 to 5 below based on the relevant Indian Accounting Standards (Ind AS).

1. When and by what amount the revenue be recognized with respect to sales made on 1st October, 20X6?
 - (a) On 1st October, 20X6 by ₹ 1,21,000
 - (b) On 1st October, 20X6 by ₹ 1,00,000
 - (c) On 1st October, 20X6 by ₹ 80,000
 - (d) On 31st December, 20X6 by ₹ 1,00,000
2. What will be the amount of finance income to be recognized with respect to sales in the year 20X6-20X7?
 - (a) ₹ 5,000
 - (b) ₹ 2,500
 - (c) ₹ 10,000
 - (d) ₹ 2,000
3. What will be the amount of Trade Receivable as on 31st March 20X7, against the sale made on 1st October 20X6?
 - (a) ₹ 1,21,000
 - (b) ₹ 1,00,000
 - (c) ₹ 1,02,500
 - (d) ₹ 1,05,000

4. What will be the amount of revenue to be recognized in the year 20X5-20X6 with respect to sales arrangement with B Ltd.?
- (a) ₹ 20,00,000
 - (b) ₹ 18,00,000
 - (c) ₹ 55,00,000
 - (d) ₹ 49,50,000
5. What will be the amount of revenue to be recognized in the year 20X6-20X7 with respect to sales arrangement with B Ltd.?
- (a) ₹ 35,00,000
 - (b) ₹ 29,50,000
 - (c) ₹ 55,00,000
 - (d) ₹ 49,50,000

Case Scenario II

M/s XYZ & Co. is an auditing firm. During his audit, the firm is facing difficulty in accounting of the following transaction for which, it seeks your answer:

- (i) A Ltd. has established a defined benefit pension plan for its eligible employees. The balance sheet of A Ltd. at 31st March, 20X7 currently includes the estimated net liability at 31st March, 20X6 amounting ₹18.75 crore. The following matters relate to the plan for the year ended 31st March, 20X7:
- The estimated current service cost was advised by the actuary to be ₹6 crore.
 - On 31st March, 20X7, A Ltd. paid contributions of ₹ 7 crore into the plan and charged this amount as an operating expense.
 - The annual market yield on high quality corporate bonds on 1 April, 20X6 was 8%.
 - The estimated net liability at 31st March, 20X7 was advised by the actuary to be ₹20.5 crore.

No benefits have been paid to date.

- (ii) On 1st April 2XX0, E Ltd. completed the construction of a non-current asset with an estimated useful life of 20 years. The costs of construction were recognised in property, plant and equipment and depreciated appropriately. E Ltd. has a legal obligation to restore the site on which the non-current asset is located on 31st March 2X20. The estimated cost of this restoration work, at 31st March 2X20 prices is ₹2.5 crore. The directors of E Ltd. have made a provision of ₹ 0.125 crore ($1/20 \times ₹ 2.5$ crore) in the draft balance sheet at 31st March, 2XX1. An appropriate annual discount rate to use in any relevant calculations is 6% and at this rate the present value of ₹ 1 payable in 20 years is 0.312.

On the basis of the facts given above, chose the most appropriate answer to Questions 6 to 10 below based on the relevant Indian Accounting Standards (Ind AS).

6. What is the amount of net adjustment to be made in the statement of profit and loss for the year 20X6-20X7 with respect to defined benefit pension plan?
- (a) ₹ 7 crore added back to the profit of the year 20X6-20X7
 - (b) ₹ 6 crore deducted from the profit of the year 20X6-20X7
 - (c) ₹ 0.5 crore deducted from the profit of the year 20X6-20X7
 - (d) ₹ 1.5 crore deducted from the profit of the year 20X6-20X7
7. What is the amount of actuarial gain/(loss) on defined benefit pension plan for the year 20X6-20X7?
- (a) ₹ 1.5 crore
 - (b) ₹ 1.25 crore
 - (c) ₹ 1 crore
 - (d) ₹ 0.5 crore
8. What is the original provision required to be made on account of restoration of non-current asset in the year 2XX0-2XX1?
- (a) ₹ 0.78 crore
 - (b) ₹ 0.125 crore

- (c) ₹ 0.039 crore
 - (d) No provision was required in the year 2XX0-2XX1 as it is the expense of the year 2X19-2X20
9. What will be the amount of adjustment to be made in the retained earnings on account of restoration provision?
- (a) ₹ 0.0468 crore
 - (b) ₹ 0.0390 crore
 - (c) ₹ 0.0392 crore
 - (d) ₹ 0.125 crore
10. What will be the amount of one year's unwinding of discount on account of restoration provision?
- (a) ₹ 0.0468 crore
 - (b) ₹ 0.0390 crore
 - (c) ₹ 0.0392 crore
 - (d) ₹ 0.125 crore

Ind AS 12 'Income Taxes'

11. X Ltd., an Indian company owns a freehold land with carrying value of ₹10,00,000 which is not depreciated for tax purposes but is indexed for inflation. Indexed value and fair value of such land is ₹ 15,00,000 and ₹22,00,000 respectively as of the reporting date. What will be the tax base for such freehold land for measurement of deferred tax if:
- (i) X Ltd. intends to sell it as a part of slump sale of business eventually after using it for business purpose
 - (ii) X Ltd. intends to sell the land individually and not on a slump sale basis
 - (iii) X Ltd. has classified such land as investment property and intends to sell it individually and not on a slump sale basis
 - (iv) X Ltd. follows a revaluation model for freehold land and intends to sell it individually and not on a slump sale

As per the applicable tax laws in the jurisdiction, indexation benefit is not available if the freehold land is sold as a part of slump sale of business, but indexation benefit is available if freehold land is sold individually.

Ind AS 116 'Leases'

12. Case I

Scenario 1: The 'last mile' is a dedicated cable that connects Entity Y's network with the end customer's device. The use of this cable is at the discretion of the customer. Entity Y decides the location of end points and has right to replace the lines (dedicated cable), however it is not practical to replace the lines, since replacement would require additional costs to be incurred without any corresponding benefit. Whether the arrangement would be within the scope of Ind AS 116?

Scenario 2: If it is practical for Entity Y to replace the lines and Entity Y would benefit from this replacement, would the answer be different?

Case II

Customer X enters into a 10-year contract with a utility company, Entity Y, for the right to use three specified, physically distinct fibers within a larger cable connecting Mumbai to Delhi. Customer makes the decisions about the use of the fibers by connecting each end of the fibers to its electronic equipment. Entity Y owns extra fibers but can substitute those for Customer's fibers only for reasons of repairs, maintenance or malfunction. The useful life of fiber is 15 years. Whether this arrangement is covered under Ind AS 116?

Case III

Customer X enters into a 10-year contract with Entity Y for the right to use a specified amount of capacity within a cable connecting Mumbai to Delhi. The specified amount is equivalent to Customer X having the use of the full capacity of three fiber strands within the cable (the cable contains multiple fibers with similar capacities). Entity Y makes decisions about the transmission of data (i.e., Entity Y lights the fibers, makes decisions about which fibers are used to transmit Customer's traffic). The useful life of fiber is 15 years.

Whether this arrangement is covered under Ind AS 116?

Ind AS 41 'Agriculture'

13. ABC Ltd. is in the business of manufacturing an apple beverage and requires a large quantity of apples to manufacture such beverage. In order to satisfy its requirement of apples, it enters into 3 years lease contracts with owners of apple orchards. The lease contracts are mainly of two types:

- (1) Contract 1: The owner of the apple orchard (i.e. the lessor) raises the apple trees to produce apples. ABC Ltd. (i.e. lessee) makes a fixed annual payment to the owner of the apple orchard who is required to cultivate the produce as per the specifications of ABC Ltd. ABC Ltd. harvests the apples itself for fulfilling its requirement of apples.
- (2) Contract 2: ABC Ltd. obtains the apple orchard from owner (i.e. the lessor) to raise the apple trees for subsequent harvest of the apples to ensure that the apples are as per the requirements of ABC Ltd. ABC Ltd. makes a fixed annual payment to the owner of the apple orchards (i.e. the lessor).

Whether ABC Ltd. is engaged in agricultural activity as per Ind AS 41 in both of the cases?

Ind AS 10 'Events After the Reporting Period'

14. H Ltd. constructed a warehouse at a cost of ₹10 lakhs in 20X1. It first became available for use by H Ltd. on 1st April, 20X2. On 29th April, 20X6, H Ltd. discovered that its warehouse was damaged. During early May 20X6, an investigation revealed that the damage was due to a structural fault in the construction of the warehouse. The fault became apparent when the warehouse building leaked severely after heavy rainfall in the week ended 27th April 20X6. The discovery of the fault is an indication of impairment. So, H Ltd. was required to estimate the recoverable amount of its warehouse at 31st March 20X6. This estimate was ₹ 6,00,000. Furthermore, H Ltd. reassessed the useful life of its warehouse at 20 years from the date that it was ready for use. Before discovering the fault, H Ltd. had depreciated the warehouse on the straight-line method to a nil residual value over its estimated 30-year useful life.

Seepage of rain-water through the crack in the warehouse caused damage to inventory worth about ₹ 1,00,000 (cost price) and became un-saleable. The entire damaged inventory was on hand as at 31st March, 20X6. H Ltd. has not insured against any of the losses.

It accounts for all its property, plant and equipment under the cost model. H Ltd.'s annual financial statements for the year ended 31st March, 20X6 were approved for issue by the Board of Directors on 28th May, 20X6.

You are required to :

- (i) Prepare accounting entries to record the effects of the events after the end of the reporting period in the accounting records of H Ltd. for the year ended 31st March, 20X6. Kindly ignore tax impact.
- (ii) Discuss disclosure requirement in above case as per relevant Ind AS.
- (iii) Will your answer be different if there was no structural fault and damage to the warehouse had been caused by an event that occurred after 31st March, 20X6?

Ind AS 36 'Impairment of Assets'

15. At 31st March, 20X1, the assets of a CGU are being reviewed for impairment. The carrying value of the CGU's net assets is ₹65 lakhs (excluding any restructuring provision), and remaining useful economic life of recognised asset is eight years.

Management's approved budgets at 31st March, 20X1 include restructuring costs of ₹ 3,50,000 to be incurred in 20X2; the restructuring is expected to generate cost savings of ₹ 1,00,000 per annum from 20X3 onwards. Formal budgets have been prepared for the three years to 31st March, 20X4. A zero-growth rate is assumed, because market conditions are extremely competitive, and this is expected to continue for the foreseeable future. The future cash flow estimates are as follows:

Year	With restructuring consideration	Without restructuring consideration
	₹	₹
20X1-20X2	5,20,000	8,70,000
20X2-20X3	10,00,000	9,00,000
20X3-20X4	10,50,000	9,50,000
20X4-20X5	10,50,000	9,50,000
20X5-20X6	10,50,000	9,50,000
20X6-20X7	10,50,000	9,50,000
20X7-20X8	10,50,000	9,50,000
20X8-20X9	10,50,000	9,50,000

In 20X2, the net cash flows without restructuring (₹ 8,70,000) exceed the net cash flows with restructuring (₹ 5,20,000) by the amount of the restructuring costs (₹ 3,50,000).

The future cash flows (which exclude inflation) have been discounted at a rate of 4%. For simplicity, it has been assumed that the cash flows arise at the end of each year.

Compute Impairment Loss at 31st March, 20X1 when-

- (i) Restructuring costs is recognised in the financial statements at 31st March, 20X1
- (ii) Restructuring costs is not recognised in the financial statements at 31st March, 20X1

Ind AS 38 'Intangible Assets'

16. SS Limited had the following transactions during the Financial Year 20X1-20X2.

- (i) On 1st April 20X1, SS Limited purchased the net assets of M Limited for ₹ 13,20,000. The fair value of M Limited's identifiable net assets was ₹ 10,00,000. SS Limited is of the view

that due to popularity of M Limited's product, the life of goodwill is 10 years.

- (ii) On 4th May 20X1, SS Limited purchased a Franchisee to organize musical shows from A TV for ₹80,00,000 and at an annual fee of 2% of musical shows revenue. The Franchisee expires after 5 years. Musical shows revenue were ₹ 10,00,000 for financial year 20X1-20X2. The projected future revenues for financial year 20X2-20X3 is ₹ 25,00,000 and ₹ 30,00,000 p.a. for remaining 3 years thereafter.
- (iii) On 4th July 20X1, SS Limited was granted a Copyright that had been applied for by M Limited. During the financial year 20X1-20X2, SS Limited incurred ₹2,50,000 on legal cost to register the Patent and ₹ 7,00,000 additional cost to successfully prosecute a copyright infringement suit against a competitor. The life of the Copyright is for 10 years.

SS Limited follows an accounting policy to amortize all intangible on SLM (Straight Line Method) basis or any appropriate basis over a maximum period permitted by relevant Ind AS, taking a full year amortization in the year of acquisition.

You are required to prepare:

- (i) A Schedule showing the intangible section in SS Limited Balance Sheet as on 31st March 20X2, and
- (ii) A Schedule showing the related expenses that would appear in the Statement of Profit and Loss of SS Limited for the year ended 20X1-20X2.

Ind AS 16 'Property, Plant and Equipment'

17. On 1st October, 20X1, XY Ltd. completed the construction of a power generating facility. The total construction cost was ₹ 2 crore. The facility was capable of being used from 1st October, 20X1 but XY Ltd. did not bring the facility into use until 1st January, 20X2. The estimated useful life of the facility at 1st October, 20X1 was 40 years.

Under legal regulations in the jurisdiction in which XY Ltd. operates, there are no requirements to restore the land on which power

generating facilities stand to its original state at the end of the useful life of the facility. However, XY Ltd. has a reputation for conducting its business in an environmentally friendly way and has previously chosen to restore similar land even in the absence of such legal requirements. The directors of XY Ltd. estimated that the cost of restoring the land in 40 years' time (based on prices prevailing at that time) would be ₹ 1 crore. A relevant annual discount rate to use in any discounting calculations is 5%. When the annual discount rate is 5%, the present value of ₹ 1 receivable in 40 years' time is approximately 0.142.

Explain and show how the above event would be reported in the financial statements of XY Ltd. for the year ended 31st March, 20X1. Ignore comments on potential future reclassification issues.

Ind AS 23 'Borrowing Costs'

18. X Ltd. commenced the construction of a plant (qualifying asset) on 1st September, 20X1, estimated to cost ₹ 10 crores. For this purpose, X Ltd. has not raised any specific borrowings, rather it intends to use general borrowings, which have a weighted average cost of 11%. Total borrowing costs incurred during the period, viz., 1st September, 20X1 to 31st March, 20X2 were ₹ 0.5 crore.

The other relevant details are as follows:

(₹ in crore)

Month	Cost of construction accrued	Cash outflows (paid in advance at the start of each month)
September	1.50	3.00
October	0.50	1.70
November	1.50	2.50
December	0.50	—
January	1.80	1.00
February	0.70	—
March	3.00	1.50

What is the amount of interest that should be capitalised to the cost of the plant in the financial statements for the year ended 31st March, 20X2?

Ind AS 110 'Consolidated Financial Statements'

19. On 1st April 20X1, A Limited acquired 80% of the share capital of S Limited. On the acquisition date the share capital and reserves of S Ltd. stood at ₹ 5,00,000 and ₹ 1,25,000 respectively. A Limited paid initial cash consideration of ₹ 10,00,000. Additionally, A Limited issued 2,00,000 equity shares with a nominal value of ₹ 1 per share at current market value of ₹ 1.80 per share.

It was also agreed that A Limited would pay a further sum of ₹ 5,00,000 after three years. A Limited's cost of capital is 10%. The appropriate discount factor for ₹ 1 @ 10% receivable at the end of

1st year: 0.91

2nd year: 0.83

3rd year: 0.75

The shares and deferred consideration have not yet been recorded by A limited.

Below are the Balance Sheet of A Limited and S Limited as at 31st March, 20X3:

	A Limited (₹ 000)	S Limited (₹ 000)
Non-current assets:		
Property, plant & equipment	5,500	1,500
Investment in S Limited at cost	1,000	
Current assets:		
Inventory	550	100
Receivables	400	200
Cash	<u>200</u>	<u>50</u>
	<u>7,650</u>	<u>1,850</u>

Equity:		
Share capital	2,000	500
Retained earnings	<u>1,400</u>	<u>300</u>
	3,400	800
Non-current liabilities	3,000	400
Current liabilities	<u>1,250</u>	<u>650</u>
	<u>7,650</u>	<u>1,850</u>

Further information:

- (i) On the date of acquisition, the fair values of S Limited's plant exceeded its book value by ₹ 2,00,000. The plant had a remaining useful life of five years at this date;
- (ii) The consolidated goodwill has been impaired by ₹ 2,58,000; and
- (iii) The A Limited Group, values the non-controlling interest using the fair value method. At the date of acquisition, the fair value of the 20% non-controlling interest was ₹ 3,80,000.

You are required to prepare Consolidated Balance Sheet of A Limited as at 31st March, 20X3. (Notes to Account on Consolidated Balance Sheet is not required).

Ind AS 111 'Joint Arrangements'

20. P Limited and Q Limited enter into a contractual arrangement to buy a building that has 12 floors, which they will lease to other parties. P Limited and Q Limited are authorised to lease five floors each. P Limited and Q Limited can unilaterally make all decisions related to their respective floors and are entitled to all of the income from those floors. The remaining two floors will be jointly managed – all decisions concerning these two floors must be unanimously agreed to between P Limited and Q Limited who will share net profits or net losses in respect of these two floors equally, i.e. they both have the rights to the net assets of the arrangement. The leasing of property is determined to be the relevant activity.

Whether this arrangement is a joint operation or a joint venture?